

Tutorial 11

Bid-Ask Spread, Market Makers, and Liquidity

A practical execution module for students before they place live or paper orders.

Module purpose

Convert the market-maker and midpoint story into a usable lesson on bid, ask, spreads, limit orders, slippage, liquidity, and execution quality.

Ideal length	Audience	Student output
75 minutes	Beginner traders	Spread worksheet + execution checklist

Conversation source

Prepared from the April 21, 2026 class transcript. External references were added to convert the live discussion into a student-safe tutorial.

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1. Lesson snapshot

The live discussion used a simple story: one person wants to sell high, another wants to buy low, and a smarter buyer tries to work in the middle. That story becomes a clean lesson about bid, ask, midpoint, spread, execution quality, and liquidity.

Conversation idea	Student-ready version	Why it matters
Market makers buy at the bid and sell at the ask.	A market maker quotes a bid where it is willing to buy and an ask where it is willing to sell. The ask is usually higher than the bid.	The spread is a real trading cost and a clue about liquidity.
The daughter buys in the middle.	A midpoint or limit order may improve execution, but it may not fill if the market moves away.	Good price and guaranteed execution are different goals.
The spread changes constantly.	Bid, ask, and size update as orders arrive and liquidity changes.	A spread that looked safe seconds ago may become unsafe in fast markets.
The lesson translates everywhere.	Stocks, ETFs, options, and futures all have execution mechanics, but spreads and liquidity differ by venue and instrument.	Students must learn execution before leverage.

Learning objectives

- Define bid, ask, midpoint, spread, and liquidity.
- Calculate the spread in dollars and as a percentage.
- Explain why market orders can create slippage.
- Use limit orders as a planning tool without assuming a fill.
- Compare liquidity across several securities or option contracts.
- Build an execution checklist before live or paper trading.

2. The spread is the toll booth

The bid is the highest displayed price a buyer is currently willing to pay. The ask is the lowest displayed price a seller is currently willing to accept. The spread is ask minus bid. For a student, the spread is the toll booth between being right on direction and actually making money after execution.

Example	Formula	Result	Teaching meaning
Bid = \$4.30, Ask = \$4.44	Ask - Bid	\$0.14 spread	A market buy may pay near \$4.44 while a market sell may hit near \$4.30.
Midpoint	$(\text{Bid} + \text{Ask}) / 2$	\$4.37	A midpoint limit may get a better price, but it may not execute.
Percent spread	Spread / Midpoint	3.2% approx.	That is expensive. A student needs a strong reason to accept it.

Execution rule

A wide spread can turn a correct idea into a bad trade. A beginner should avoid trades where the spread is too wide to exit cleanly.

3. Market makers and liquidity

A market maker is not a charity and not a guaranteed opponent with perfect information. It is a firm or participant that quotes prices and accepts risk to provide liquidity. In return, it may earn the spread and manage inventory risk. When markets become volatile, spreads may widen because the risk of being picked off increases.

Term	Definition	Student checkpoint
Liquidity	The ability to buy or sell without moving the price too much.	Look for tight spreads, steady volume, and visible size.
Depth	How many shares or contracts are available at or near the quote.	Thin depth means a market order may sweep several levels.
Slippage	Difference between expected price and actual execution price.	Record expected fill versus actual fill in every journal entry.
Price improvement	Execution better than the displayed quote or better than the order limit.	A nice bonus, not something to rely on.
Best execution	Broker-dealer obligation to seek favorable execution terms under the circumstances.	Students still must choose order types carefully.

4. Market order versus limit order

Order type	What it prioritizes	Risk	Beginner use
Market order	Execution speed.	Price uncertainty and slippage, especially in fast or thin markets.	Use only in very liquid products and when spread is tiny.
Limit order	Maximum buy price or minimum sell price.	May not fill.	Default learning tool for paper trading.
Stop order	Triggering an order after a price level is reached.	Can trigger in a fast move and fill poorly depending on type.	Use only after understanding the broker's exact stop mechanics.
Midpoint attempt	Better price between bid and ask.	No guarantee of execution.	Useful in liquid options/stocks when spread is not too wide.

Instructor phrase

Do not ask: Can I buy it? Ask: Can I get in, get out, and still have a reasonable trade after the spread?

5. Liquidity checklist

Check	Question	Pass standard
Spread	How wide is bid to ask?	Tight enough that one entry and one exit do not destroy the expected edge.
Volume	Is the product active today?	Enough live participation to make the quote meaningful.
Open interest	For options, are contracts actually open?	Enough OI to suggest the contract is not a ghost market.
Quote size	Is there size behind the bid/ask?	Avoid tiny displayed size if order size is large.
Catalyst	Is news or data about to drop?	Pause before events that can blow out spreads.
Time of day	Is the session liquid?	Be careful at open, close, lunch, or outside regular hours.

6. Student worksheet: spread and execution log

Record five securities or option contracts. Do not trade. The objective is to learn the execution environment before forming an opinion on direction.

Ticker/contract	Bid	Ask	Midpoint	Spread \$	Spread %	Volume	Would I use a market order? Why?

Completion standard

A passing student can explain why a tighter spread is usually better, and why a limit order can protect price but not guarantee a fill.

External source stack for students

The source titles below are clickable in most PDF readers. They were selected because they are official, regulator-backed, exchange-backed, or institutionally useful for student verification.

ID	Source	Why it belongs in the tutorial
S1	SEC - Spread sec.gov	Defines bid, ask, and spread; explains that market makers make money on the spread.
S2	Investor.gov - Bid Price/Ask Price investor.gov	Plain-English investor definition of bid, ask, and spread.
S3	Investor.gov - Market Makers investor.gov	Defines a market maker as a firm standing ready to buy or sell at publicly quoted prices.
S4	Investor.gov - Understanding Order Types investor.gov	Explains market orders, limit orders, and execution risk in fast markets.
S5	FINRA Rule 5310 - Best Execution and Interpositioning finra.org	Regulatory basis for broker-dealer best execution obligations.
S6	NYSE Arca - Market Making nyse.com	Describes continuous two-sided quoting requirements for market makers on NYSE Arca.